



WHEN WE WILL ENTER?

The next element is to define rules that help us determine the point at which we will enter into a trade. We will pre-determine the circumstances to enter a trade. More importantly, we will also define rules when we are unable to enter a trade despite a particular formation. For instance, we say that we will never enter any trade whenever ADX is below 25. So, no matter whatever happens with other indicators that we use, we will never enter trade if ADX is less than 25.



WHEN WE WILL EXIT?

The next element is to determine when and how we will exit a trade. This means defining the rules that determine the point in time when we will square off our position in case of both profit and loss. This includes determining profit booking levels as well as stop losses. Every trade doesn't need to have a profit booking level. However, it must have stop losses to help in risk reduction. We will understand these in detail going ahead when we talk about risk management.